

COMMENTARY

The Importance of Agile Audit Standard Setting in a Fast-Moving World

Brant E. Christensen
Brigham Young University

Scott Emett
Arizona State University

Christina Ho
Oath CPAs PLLC

David A. Wood
Brigham Young University

ABSTRACT: The current public company audit standard setting process in the United States is slow and prone to reactivity, rigidity, and episodic consultation. Drawing on principles from the software industry's agile development process, we discuss how the standard setting process could be improved by breaking large standard setting projects into modular "sprints," forming cross-functional teams, using pilot sandboxes, and embedding continuous investor, auditor, and public feedback. We discuss how governance safeguards, such as quality checkpoints, transparent documentation, balanced advisory panels, and post-implementation reviews, can address risks of rushed or captured rulemaking. By treating standards as living products rather than episodic pronouncements, audit regulators can better protect investors amid rapid technological and market change.

Keywords: PCAOB; standard setting; agile.

I. INTRODUCTION

Audit regulators play a critical role in the financial ecosystem by setting auditing standards that protect investors and help ensure the integrity of public company audits. In recent years, however, the traditional approach to standard setting for public company audits in the United States has faced criticism for being slow, cumbersome, and unable to keep pace with rapid changes in technology and markets (Ho 2025). Of particular concern is the rapid change of the business environment due to artificial intelligence (AI) and related tools. Global AI investment increased by 2.5 times in the last two years and is expected to reach \$2.5 trillion in 2026 (Gartner 2026). To accommodate such rapid innovation, investors and other stakeholders can justifiably expect auditors and regulators to be timely, responsive, and agile. In a world where the business landscape changes significantly within a matter of months,

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Brant E. Christensen, Brigham Young University, Marriott School of Management, School of Accountancy, Provo, UT, USA; Scott Emett, Arizona State University, W. P. Carey School of Business, School of Accountancy, Phoenix, AZ, USA; Christina Ho, Oath CPAs PLLC, Chicago, IL, USA; David A. Wood, Brigham Young University, Marriott School of Management, School of Accountancy, Provo, UT, USA.

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multiyear standard setting cycles are no longer sustainable. In this paper, we discuss ways in which U.S. public company auditing standard-setters can be more agile.

In the United States, the Sarbanes-Oxley Act (SOX) of 2002 established the Public Company Accounting Oversight Board (PCAOB). One of the PCAOB's main tasks is to establish auditing standards. However, one decade after its formation, former chief accountant at the Securities and Exchange Commission (SEC), James Schurr, criticized the PCAOB for "moving too slowly" and that the PCAOB and SEC would take a "fresh look" at the Board's process (Rapoport 2014). More than a decade after this pronouncement, despite efforts to accelerate its agenda, the Board still struggles with lengthy timelines for updating standards and a backlog of interim rules dating back to 2003. In 2022, the PCAOB launched an ambitious strategic plan to modernize its standards (PCAOB 2022; Ho 2023), yet the fundamental processes of standard setting remain rooted in a sequential model that may no longer be adequate in a fast-changing environment. When audit standards are not updated or finalized in a timely manner, auditors are hesitant to update methodology because of the lack of authoritative guidance (Glover, Prawitt, and Taylor 2009; Janvrin, Bierstaker, and Lowe 2009; Ng and Tan 2003). Simultaneously, regulators are prone to engage in standard setting by inspection, in which inspectors "create" implicit audit standards by enforcing their own expectations of how to react to changing business environments. This process results in inconsistent enforcement of auditing standards across firms and engagements (Boland, Brown, and Dickins 2020).

Because multiyear windows between audit standard setting project initiation and final adoption are the norm (see Table 1), this paper discusses how the U.S. public company audit standard setting process could be transformed by embracing agile principles. Originating in the software industry, agile methodologies prioritize flexibility, iterative development, and continuous stakeholder feedback to deliver value more quickly and adapt readily to change. Agile approaches have moved beyond software and are increasingly being adopted in fields like project management, product development, and even government policymaking (Mergel, Ganapati, and Whitford 2021). Furthermore, other standard setting bodies, including the National Institute of Standards and Technology (NIST), the International Auditing and Assurance Standards Board (IAASB), and the International Accounting Standards Board (IASB), have incrementally explored and adopted agile principles in recent years (IAASB 2023). This paper is meant to serve as a jumping off point to explore how similar adjustments could be made to the U.S. audit standard setting process.

The core idea is to replace rigid, slow-moving processes with dynamic cycles of planning, action, feedback, and refinement. Although the current PCAOB process incorporates some elements of agile standard setting (e.g., outreach to affected parties), it remains generally too rigid and slow. More importantly, agile methodology focuses on continuous improvement and collaboration based on stakeholder feedback loops. The current PCAOB standard setting process engages with stakeholders at pre-defined stages, such as the open comment period. Applying agile philosophy to audit standard setting could enable audit standard-setters to respond more rapidly to emerging audit risks (such as those posed by new technologies like AI) and more frequently to stakeholders while still maintaining due diligence and public accountability (Emmett, Eulerich, Pikoos, and Wood 2025, 2026).

In what follows, we begin by examining the limitations of the traditional standard setting model, highlighting why it often falls short in today's context. We then introduce key agile principles and illustrate how they contrast with current practices. Next, drawing lessons from digital government initiatives and other regulators that have experimented with agile methods, we explore options to embed agility into the audit standard setting process. We also consider potential risks—such as maintaining quality and stakeholder trust in a faster paced system—and discuss governance mechanisms to mitigate these risks while also acknowledging that this paper represents the *start* of an important conversation and not the *ex ante* resolution of any potential challenges. Finally, we discuss broader implications of an agile transformation, including its impact on audit quality, the auditing profession, and future research opportunities in regulatory innovation. By reimagining standard setting as a more nimble, responsive activity, audit standard-setters can better protect investors in a world of accelerating change. In combination with discussion in Barr-Pulliam, Boland, Hermanson, Keyser, and Pyzoha (2026) about proposed changes to the PCAOB's overall regulatory mission, we encourage further discussion of the PCAOB's oversight role.

II. CRITIQUES OF TRADITIONAL STANDARD SETTING MODELS

Process and Pace

The traditional PCAOB audit standard setting process is deliberate and highly procedural by design. New or revised standards typically undergo a series of stages: identification of an issue, staff research and drafting, Board approval to propose, public exposure and comment, potential revisions, Board adoption, and finally SEC approval before a standard becomes effective.¹ This linear process often spans years from start to finish. Table 1 illustrates the

¹ See PCAOB (n.d.a) for information on the PCAOB standard setting process.

TABLE 1

Standard (Topic)	Initial Project Initiation ^a	Proposal(s) Issued	Final Adoption	Approx. Duration ^b
Auditor Reporting—Critical Audit Matters (AS 3101)	2010–2011 staff outreach and June 2011 concept release	August 2013 proposal; May 2016 reproposal	June 1 2017 (effective 2019 for large accelerated filers)	≈ 7 yrs (≈ 9 yrs to full rollout)
Quality Control System—QC 1000	2010 Board agenda; December 2019 concept release	November 2022 proposal	May 13 2024 (effective 2025)	> 14 yrs
Confirmations—AS 2310	2009 concept release	July 2010 proposal; December 2022 reproposal	September 28 2023 (effective 2025)	≈ 14 yrs
Risk-Assessment Suite (AS 1101–15)	October 2008 original proposal	December 2009 reproposal	August 5 2010 (effective fiscal year (FY) beg. 15 December 2010)	≈ 2 yrs
Related Parties—AS 18	February 2012 proposal; May 2013 reproposal	—	June 10 2014 (effective FY beg. 15 December 2014)	≈ 2.5 yrs
Accounting Estimates & Specialists (AS 2501 + amendments)	August 2014 staff consultation paper	1 June 2017 proposal	December 20 2018 (effective 2020)	≈ 4 yrs
Other Auditors—AS 1206 and amendments	April 2016 proposal; September 2021 supplemental request	—	June 21 2022 (effective 2024)	≈ 6 yrs
Engagement-Partner & Other-Firm Disclosure—Form AP/Rule 3211	2008–2009 treasury recommendation	October 2011 first proposal; December 2013 reproposal; June 2015 supplemental	December 15 2015 (Form AP live 2017)	≈ 6–7 yrs
Internal Control Over FR—AS 5	December 5 2006 Board agenda announcement	19 December 2006 proposal	May 24 2007 (effective FY end ≥ 15 November 2007)	< 1 yr
General Responsibilities of the Auditor—AS 1000	October 2022 project added to agenda	March 2023 proposal	May 13 2024 (effective 2025)	≈ 2 yrs

Each project listed in Table 1 included one or more formal public comment periods—typically lasting approximately 60–120 days—as the primary mechanism for external stakeholder input. Although those comment periods provide due process legitimacy, they also illustrate the episodic and largely unidirectional nature of the traditional model. The CAM standard setting process is a useful example: stakeholder concerns were primarily communicated through formal letters submitted during designated windows rather than through continuous iterative dialogue with the regulator.

^a “Initial project initiation” is the first public action (concept release, staff paper, or formal agenda listing) that signaled the Board intended to modernize the topic.

^b Rounded years from first public action to Board adoption; a second figure is given where phased effective dates significantly lag adoption.

lengthy timelines of ten major PCAOB standard setting projects that span the Board's history.² Each project listed in Table 1 underwent extended cycles of consultation and revision. In some cases, standards remained interim or unchanged for years before modernization. For instance, the requirement for auditors to communicate Critical Audit Matters (CAMs)—perhaps the most significant audit reporting reform in a generation—took approximately seven years to progress from concept to final rule. The PCAOB's new quality control standard (QC 1000) was under development in some form for over 14 years before its 2024 adoption. Such prolonged timelines are not outliers but rather the norm of the traditional process.

The PCAOB has often been perceived as reactive and lagging industry developments (Glover et al. 2009; Jang, Kim, and Gao 2025). For instance, many of the auditing standards in force were “interim” standards inherited from the AICPA in 2003 and remained unchanged for long periods. A Reuters investigative report described the Board as struggling to enact timely reforms, quoting an SEC official's warning that delays in addressing audit failures were unacceptable (Levinson 2015). More recently, the PCAOB's own Technology Innovation Alliance Working Group (TIA) noted the urgent need for the PCAOB to build “regulatory innovation capacity” (Technology Innovation Alliance Working Group (TIA) 2024).

Regulatory delays and lags have real consequences: gaps in standards can contribute to audit deficiencies going unaddressed, potentially undermining investor confidence in financial reports. Auditors and auditees may also delay investing in technologies that could improve audit quality because of lack of clarity around standards (Eulerich, Summers, and Wood 2025; Christ, Emett, Summers, and Wood 2021). Although some timely help is possible through the publication of staff audit practice alerts, such notices do not constitute authoritative guidance.³ Without authoritative guidance on timely issues, audit firms have to take risks and then fear being punished after the fact during inspections. This turns *ex post* inspections into pseudo-standard setting (Boland et al. 2020; Westermann, Cohen, and Trompeter 2019).⁴

Several structural factors contribute to the sluggish pace of auditing standard setting. First, a consensus-driven, committee-based decision-making can lead to extended deliberations and revisions behind closed doors *before the public ever sees a proposal*. Second, critical feedback received during the public comment period sometimes necessitates repropoals, adding more cycles. Although this rigor ensures broad input, it can also result in standards that take years to complete. By the time a major standard is finalized, the original issues it aimed to solve may have evolved or multiplied. A stark example is the PCAOB's project on audit firm quality control: modernization was discussed for over a decade, and only in 2024 did the Board approve a new quality control standard to replace the decades-old predecessors. The lengthy timeline reflects the difficulty of overhauling complex frameworks under a traditional approach.

Misplaced Focus

Traditionally, standard setting has tended to be reactive—triggered by known problems (inspection findings, scandals, or identified gaps) rather than anticipating future challenges. This backward-looking orientation fails to keep standards in sync with innovation. In particular, technology-driven changes in auditing (like the use of data analytics, AI, and automation) have outpaced the rules (Kokina, Blanchette, Davenport, and Pachamanova 2025; Eulerich, Sanatizadeh, Vakilzadeh, and Wood 2024; Koreff 2022; Alles and Gray 2020; Cooper, Holderness, Sorensen, and Wood 2019). Perhaps because of its dual purpose as standard-setter and enforcer, the PCAOB also tends to create standards that prioritize “check-the-box” compliance and enforceability of standards as primary outcomes as opposed to trying to solve the root cause of the audit quality issue (e.g., misaligned incentives, insufficient professional skepticism, or inadequate responses to evolving business models).

² We note that actual *implementation* is even more delayed, as evidenced by lags between final approval and implementation. Agile principles address both timely creation of standards and their timely implementation.

³ In fact, the PCAOB's website (PCAOB n.d.b) describes these alerts as follows: “The PCAOB staff develop guidance to assist in the implementation of PCAOB standards and rules. The documents represent the views of PCAOB staff and not necessarily those of the Board. The documents are not rules, policies, or statements of the Board.”

⁴ We spoke with a specialist in the national office of a Big 4 firm (Anonymous, personal communication), who stated, “at the end of the day we want to do the right thing...we just need to know what it is and trying to ‘guess’ what the regulators think is not helpful for anyone.” As stated by the same Big 4 representative, “in most cases firms just want to avoid getting in trouble...so even understanding where the regulator's mind is at or the direction they're heading will help alleviate 98 percent of the issues with fast-moving topics.” These quotes are consistent with Sewpersadh (2025, 14) who note that “regulatory lag [is] a persistent challenge, with regulatory bodies often taking a reactive stance toward technological advancements, creating uncertainties for firms seeking compliance.” Sewpersadh (2025, 11) further quotes an audit partner, “Regulators by nature are not innovators but rather reviewers; hence, [they] play a more reactive role to current industry practices. They often do not fully grasp what auditors can currently do.”

Overly Broad and Rigid Outputs

Traditional audit standards are typically comprehensive and have become increasingly prescriptive as opposed to principles-based. Because issuing a standard is so laborious, there is a tendency to address as many issues as possible in one large update and then expect firms to comply until another major revision eventually occurs. This can lead to rules that are rigid and not easily adaptable. For example, AS 2110 (Identifying and Assessing Risks of Material Misstatement) requires specific risk assessment procedures but was drafted before the widespread adoption of advanced data analytics and AI-based risk assessment tools. Although the standard does not preclude these approaches, its language is oriented around traditional audit procedures, creating uncertainty about whether newer methods fully satisfy the requirements. Similarly, the documentation requirements in AS 1215 were written assuming traditional electronic workpapers and may not fully accommodate real-time, collaborative documentation environments now used by some firms. These examples illustrate how standards drafted for a specific technological context can become rigid when that context evolves. Although the PCAOB has the power to implement principles-based standards using its current methodology, it has not shown a willingness to do so, perhaps in part because rules-based standards better align with its current inspection and enforcement process.

Stakeholder Engagement Challenges

Another limitation of the current model is the nature of stakeholder engagement. It is important to acknowledge that the PCAOB seeks input from investors, audit firms, and others through formal advisory groups and public comment letters (Yang and Zhang 2026) and that this input informs its standard setting process. However, these interactions are episodic and formalized. Investors have complained that earlier boards were not sufficiently responsive to their input, contributing to a perception of “toothless” oversight prior to 2022 (Posner 2021).

On the other hand, when the PCAOB ramps up activity, audit firms sometimes feel blindsided or overwhelmed by new proposals. The standard setting process does not consistently involve stakeholders in a collaborative and transparent way during the development of standards—it is more a periodic solicitation of feedback on a near-final product. For example, during the PCAOB’s Critical Audit Matters (CAM) standard setting process, stakeholders primarily communicated concerns through formal comment letters submitted during designated exposure periods rather than through iterative dialogue with the regulator as the proposal evolved. In that setting, a firm or other stakeholder might submit a letter arguing that the proposal could increase boilerplate disclosures, create implementation uncertainty, or impose significant documentation burdens yet receive no opportunity to refine those concerns collaboratively as the rule was being shaped. This can result in adversarial dynamics and missed opportunities to incorporate on-the-ground insights early. In a world where knowledge is distributed and problems are complex, the existing approach might underutilize the expertise of external stakeholders until too late in the process.

In sum, the traditional standard setting model, although grounded in principles of due process and rigor, exhibits several weaknesses: slowness, reactivity, emphasis on compliance, inflexibility, and arms-length stakeholder engagement.⁵ These weaknesses are increasingly problematic in an environment where audit risks evolve quickly (e.g., cryptocurrency assets, AI-assisted fraud, remote auditing) and where both the public and regulated entities expect regulators to be more agile and technologically savvy. To be clear, the critique is not that thorough analysis or public consultation should be abandoned. On the contrary, such rigor is vital to legitimacy. However, we argue that the methods of achieving those aims need modernization. The following section explores how agile principles could address these shortcomings by reshaping how standards are developed and updated.

III. AGILE PRINCIPLES APPLIED TO REGULATION: THEORY AND EVIDENCE

“Agile” principles originated in software development as a response to linear project methods that often failed to deliver usable results in a timely way. In 2001, a group of software practitioners proposed a shift in process that emphasized individuals and interactions over processes and tools, working solutions over comprehensive documentation, customer collaboration over contract negotiation, and responding to change over following a rigid plan (Beck et al. 2001).

These values are supported by 12 underlying principles (Agile Alliance 2026). Over the past two decades, these ideas have revolutionized software project management and have spread to many other domains (Rigby, Sutherland, and Takeuchi 2016). At its core, agile development is about flexibility, continuous improvement, and a focus on

⁵ We note that inflexibility is distinct from slowness, with the former referring to the structural rigidity of the process itself. Specifically, once a standard setting project is initiated, its scope, approach, and deliverable format are largely fixed, with little room to pivot midproject if new information emerges.

delivering value to end-users quickly and iteratively. We focus on six of the 12 underlying principles that we believe are most applicable to the development of auditing standards: (1) delivering working increments frequently⁶; (2) welcoming changing requirements, even late in the process; (3) close, ongoing cooperation between business stakeholders and standard-setters; (4) building projects around motivated individuals and trusting them; (5) continuous attention to technical excellence; and (6) regular reflection on how to become more effective. Several other principles (e.g., face-to-face conversation as the primary mode of communication and measuring progress through working software) would require greater adaptation for our setting. Although not all 12 principles transfer perfectly to audit regulation, our exploratory application of agile principles is intended to preserve the spirit of all 12 by emphasizing iterative delivery, responsiveness to change, stakeholder interaction, technical quality, and continuous learning.

Applying agile principles to the realm of auditing standard setting might seem unconventional. However, the philosophy of agile principles is broadly applicable to any complex, knowledge-intensive work where requirements can change and stakeholder needs must be met. Such characteristics aptly describe the public company auditing profession and its related standard setting. In the public sector, agile methods have been increasingly embraced to improve the responsiveness of policymaking and regulatory design. Governments are learning that rigid rulemaking, much like rigid software projects, can stifle innovation and fail to adapt to new information (Dailey 2024). By contrast, an agile mindset treats policies or standards as evolving products that benefit from continuous stakeholder feedback, experimentation, and refinement.

Governments and regulatory bodies around the world have been experimenting with agile principles to modernize outdated processes, providing valuable lessons for audit standard-setters (De Grandis, Brass, and Farid 2022).⁷ For example, in 2014, the U.S. established the U.S. Digital Service to help government entities increase effectiveness and efficiency in the digital age (U.S. Digital Service (USDS) 2024). Furthermore, the U.S. National Academy of Public Administration and international scholars have documented how agencies are redesigning workflows around small teams, iterative experimentation, and direct user engagement (U.S. National Academy of Public Administration (NAPA) 2022). Finally, the NIST has increasingly adopted agile methodologies to set standards, including the AI Risk Management Framework (AI RMF). NIST notes that the AI RMF and its companion Playbook are designed to “evolve over time” through continuous stakeholder engagement and feedback loops, rather than following a static revision cycle (National Institute of Standards and Technology (NIST) 2023). These efforts suggest that even highly bureaucratic environments can adopt agile workflows if backed by strong leadership and a clear mandate.

Regulatory sandboxes represent another form of agile practice, offering a controlled space for testing new rules or technologies before full-scale implementation (Ranchordás 2021a).⁸ In sectors like fintech and healthcare, sandboxes allow companies to operate under modified rules while regulators monitor outcomes. The U.K.’s Financial Conduct Authority pioneered this approach, and others, including the OECD and World Economic Forum, have promoted it as a model for adaptive regulation. The U.S. Commodity Futures Trading Commission (CFTC) and Consumer Finance Protection Bureau (CFPB) both launched their initial version of “fintech sandbox” a few years ago (Gorfine and Brummer 2017; Mercatus Center 2018) and renewed their policies in 2025. For audit standard-setters, sandbox-style pilots could offer a way to test auditing standards with volunteer firms, enabling early identification of practical issues and supporting data-driven improvements before broad rollout.

Crucially, agile regulation does *not* mean deregulation or sacrificing rigor. It is not about moving fast and changing things in a careless manner—rather, it is about moving smarter and sooner, with continuous checks on whether the goals are being met. An agile audit standard-setter would still be bound by its mission to protect investors and its obligation to be transparent and fair. In fact, agile development could enhance these values: for instance, incremental updates might keep investors better protected against new risks, and ongoing collaboration with stakeholders could make the process more transparent and inclusive than periodic comment letters alone. Digital government and regulatory experimentation offer encouraging evidence that agility is possible in even the most structured environments.

IV. APPLYING AGILE PRINCIPLES TO AUDIT STANDARD SETTING

Building on the insights above, this section discusses how agile principles could be embedded into the audit standard setting framework. The goal is to create a hybrid model that preserves the strengths of the traditional

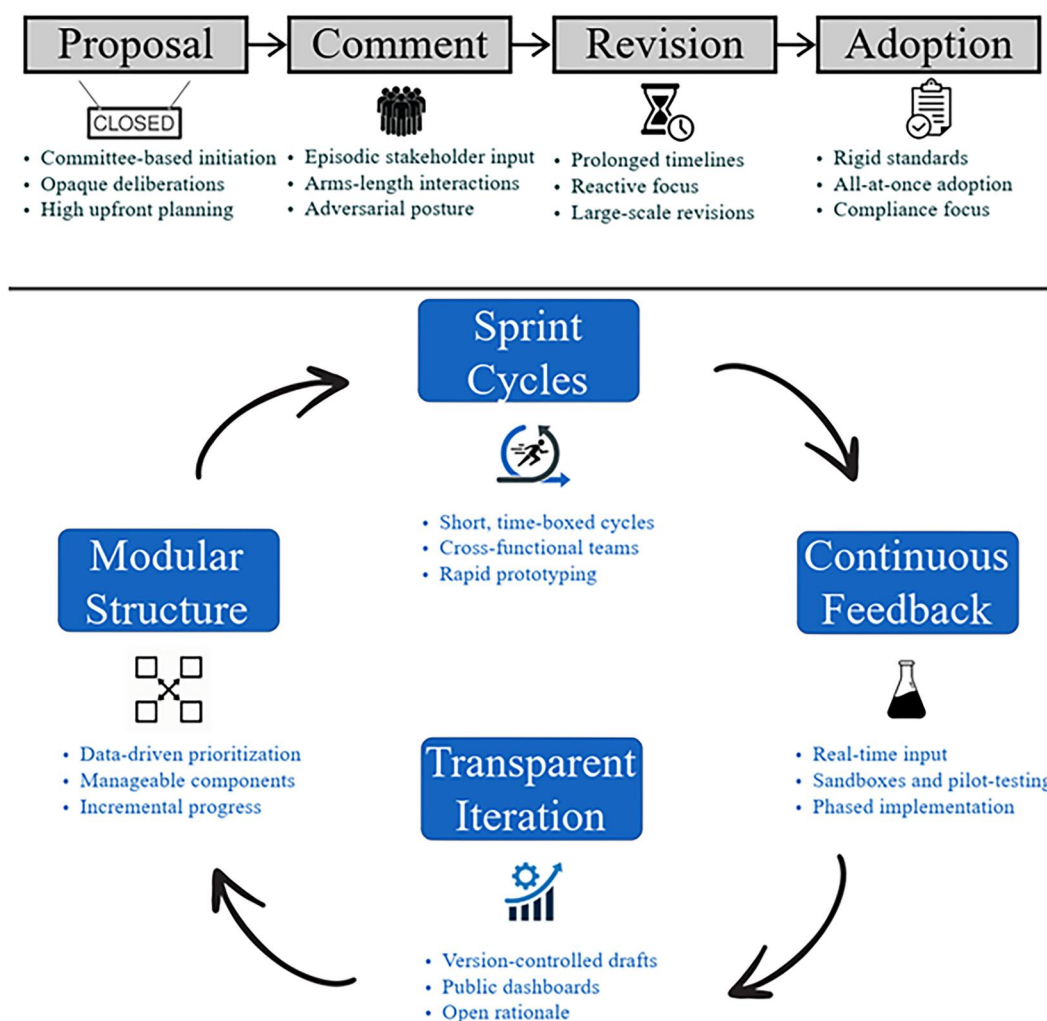
⁶ For our purposes, a “working increment” is defined as a self-contained, implementable component of a standard that has been reviewed, tested through structured feedback or pilot programs, and is ready for provisional adoption. It must include (1) the standard language itself, (2) accompanying implementation guidance, and (3) evidence from stakeholder testing that the increment functions as intended.

⁷ See also the Agile Nations Charter (U.K. Government 2020).

⁸ As an example, see a case study of the United Kingdom’s regulatory sandbox for financial technology (Fahy 2022; <https://www.fca.org.uk/firms/innovation/digital-sandbox>).

FIGURE 1

From Traditional to Agile: Reimagining Audit Standard Setting



(The full-color version is available online.)

approach (notice and comment, principles of due process, rigor, stakeholder protection) while improving speed, adaptability, and stakeholder engagement. Figure 1 provides a side-by-side summary of the traditional and agile audit standard setting models, highlighting key differences in process, engagement, and outcomes. It is important to note that the IAASB has already taken steps toward greater responsiveness in its own standard setting process, including the introduction of “narrow-scope amendments” and shorter consultation periods for targeted revisions (IAASB 2023). Our discussion aligns with and extends these international developments. In practice, greater alignment between the PCAOB’s and the IAASB’s approaches could reduce the compliance burden on practitioners—particularly those operating under both standard setting frameworks—by minimizing duplicative feedback cycles and providing more practical implementation guidance that transcends jurisdictional boundaries.

To bring greater flexibility, speed, and responsiveness to their standard setting, auditing standard-setters can adopt an agile framework built around modular development, iterative delivery, and continuous engagement. Rather than treating each standard as a large, one-time project, the standard setting body would break complex topics into smaller, manageable modules—each with its own timeline and deliverables. For example, revising the auditor’s risk assessment

standard could be phased into discrete updates on fraud, analytical procedures, and more, with each piece developed and delivered independently within 6–12 months.⁹

Formal sprint cycles would structure this work, using time-boxed periods (starting quarterly or semiannually) to produce specific outputs—draft sections, staff guidance, or feedback summaries. These sprints would conclude with internal reviews and, where appropriate, external presentations to ensure accountability and momentum. Cross-functional teams would lead each project, combining technical, legal, economic, and inspection expertise in one focused group empowered to collaborate daily and move quickly. This team-based model reduces hand-offs and integrates diverse perspectives from the start. In parallel, stakeholder input would be gathered continuously through diverse outreach effort including advisory groups, and informal and formal stakeholder engagement, to provide feedback throughout a project, not just at the proposal stage. These would supplement or reshape the role of existing advisory bodies to become more iterative and hands-on.

Agility would also reshape implementation through pilot programs and phased rollouts. New or uncertain standards—such as those involving emerging technologies—could be piloted with volunteer firms (or a random selection of volunteer firms), with results analyzed before full adoption. One acknowledged complication of pilot-testing in the public company auditing setting is that audit *clients* may need to be involved and similarly volunteer for participation.¹⁰ Public companies internationally have already had exposure to field testing of *accounting* standards through the IASB since 2007, which suggests that live pilot-testing is not impossible. Alternatively, pilot-testing could be performed by volunteer audit firms or the PCAOB using simulated data.

Technology can further accelerate this shift. A secure, digital collaboration platform could allow iterative drafting, real-time stakeholder feedback, and transparent version tracking—mirroring how modern development teams build software or how some regulators manage open-source policy code. The Federal Chief Data Officers (CDO) Council has shown that tools like natural language processing (NLP) can streamline public comment analysis and dynamic cost-benefit modeling could evolve with the standard itself (Federal Chief Data Officers (CDO) Council 2021). Finally, agility means recognizing that no standard is final forever. Each newly adopted rule would enter a post-implementation review phase, with feedback and inspection results used to inform adjustments. This built-in “maintenance sprint” ensures standards evolve based on real-world performance.

Although agile methods must be adapted to fit standard-setters’ legal and oversight structure, the core ideas—working in smaller steps, engaging early and often, testing before scaling, and continuously improving—can bring standard-setters closer to their mission of protecting investors through timely, effective audit standards.

V. RISKS AND GOVERNANCE CONSIDERATIONS

Adopting an agile standard setting approach is not without risks. A careful analysis of potential downsides and proactive governance measures is necessary to ensure that greater agility does not compromise standard-setters’ mission or the quality of auditing standards. Next, we outline key risk areas and how they can be mitigated.

Quality and Rigor Risk

One concern is that faster, iterative development could lead to inadequate analysis or oversight, resulting in lower quality standards or overlooked implications. Auditing standards are foundational to audit quality (Lamoreaux, Mowchan, and Zhang 2023; Mohapatra, Elkins, Lobo, and Chi 2022; Lamoreaux 2016); a flawed standard could do harm. To mitigate this, governance must emphasize that agility does not mean cutting corners on research or principles of due process. Each iteration of a standard should still be grounded in evidence (e.g., inspection data, academic research, etc.) and subject to expert review. The involvement of subject matter experts on agile cross-functional teams helps maintain rigor, and the use of sandboxes and pilots can allow regulators to test the efficacy of new standards before implementation. Moreover, by having more frequent but smaller releases, the impact of any one standard having elements that requires further refinement is reduced because it can be revised in the next iteration. This is somewhat analogous to software: deploying code in small batches means, if a bug slips through, its effect is narrower and can be patched faster, whereas a larger simultaneous release carries more risk. Auditing standard-setters can implement

⁹ We acknowledge that such an adjustment would also result in necessary changes within audit firms and their methodology groups that have become accustomed to the PCAOB’s current model. Shifts away from that model would not be costless to firms or occur without its own challenges.

¹⁰ Pilot-testing experiments must be transparent and inclusive. If pilot programs are perceived as benefiting only a few firms, trust in the process can erode. International guidance stresses the importance of equitable access and clear communication of pilot goals and outcomes. Publishing results—positive or negative—can demonstrate accountability and foster broader stakeholder buy-in.

quality checkpoints in its agile process, such as requiring an internal peer review or a “go/no-go” decision by key decision-makers at certain milestones if minimum quality criteria are not met.

A related concern is how inspection bodies would interpret and enforce requirements that evolve in shorter cycles. Under an agile regime, inspection bodies such as the PCAOB would need to adapt their approach. Several possibilities exist: (1) inspectors could adopt a process-oriented approach that evaluates whether firms have appropriate change-management systems rather than exclusively focusing on compliance with a static set of requirements, (2) the PCAOB could establish transitional safe harbors for firms demonstrating good-faith implementation of newly iterated standards, and (3) inspection guidance could be updated concurrently with standard iterations to prevent enforcement gaps.

We also acknowledge that continuously evolving standards (and their related enforcement through inspections) could create challenges in terms of firms’ ability to fully remediate inspection comments. The agile framework must therefore be paired with a much more engaging and transparent supervision model.

Stakeholder Overload and Consultation Fatigue

If not managed carefully, more frequent updates and requests for feedback could overwhelm stakeholders and the SEC (who must approve all rules adopted by the PCAOB). Auditors and firms might experience “consultation fatigue” if they are asked to continuously engage or adapt to new guidance frequently. There is also a risk that too many rapid changes could strain firms’ capacity to implement them properly (Ho 2025). To address this, standard-setters should be thoughtful in planning its sprints and, ideally, align them with the natural workflow timeline inherent to reviewing and auditing quarterly and annual filings. An agile standard setting process does not mean all standards change every month; it means the process of making changes is ongoing and more predictable. Standard-setters can prioritize and stagger effective dates of new standards so that firms have a manageable implementation load. Additionally, standard-setters can streamline how guidance is communicated. For instance, major updates could be released annually and smaller updates could be released quarterly.

On the consultation side, standard-setters should be mindful of stakeholders’ time. The advisory panels and public comment opportunities must be meaningful, not onerous. For instance, a collaboration tool can be used through which discussion can take place asynchronously and transparently, thus enabling users to engage based on their availability. Panel members should be rotated periodically to avoid burnout, and their involvement should be designed to be efficient. By demonstrating that stakeholder input genuinely influences outcomes (e.g., by showing draft-to-draft changes that reflect feedback), stakeholders will see value and be more willing to participate actively.

Version Management and Midcycle Compliance

To preserve internal consistency within audit files—where planning, interim, and year-end work span many months—certain safeguards should be in place. Some possibilities include the following: (1) any standard iteration released during an active audit engagement cycle would take effect only at the start of the next engagement cycle, not midengagement; (2) each iteration should include clear versioning and effective dates so practitioners can unambiguously identify which version governs a given engagement; and (3) transitional guidance should specify how firms should document compliance when an iteration is adopted voluntarily before its mandatory effective date. Without these safeguards, the consistency and evidential concerns associated with midcycle changes could undermine the practical benefits of agile standard setting.

Legal scholars have suggested that regulatory certainty should be defined not by unchanging rules but by the reliability of outcomes.¹¹ Agile regulators must manage this tradeoff carefully, using clear timelines and phased rollouts to guide iterative changes toward long-term improvements. We note that these suggestions are not unlike guidance given to companies as they implement new financial accounting standards.

Transparency and Accountability

Agile development often involves informal discussions and rapid decisions, which in a regulatory context raises questions about transparency. Regulators must be accountable to the public; if much of the standard formation happens in agile team meetings or with select advisors, it is challenging to ensure that all interested parties have visibility into the process and have a chance to contribute. One potential solution is to document the process and ensure all interim decisions are eventually exposed to public scrutiny. For instance, if advisory panel input significantly shaped a

¹¹ Ranchordás (2021b) argues that legal certainty should not rely on static rules but on the law’s ability to adapt over time while still producing reliable outcomes, suggesting that temporary and experimental regulations can enhance long-term certainty. See also Ranchordás (2021a).

provision, the regulator can describe that influence in the Basis for Conclusions of the final proposed rule (similar to how some regulators explain how advisory committee input was used). All iterative drafts and the rationales for changes between them should be preserved in the public rulemaking docket. Essentially, standard-setters would practice radical transparency by making the evolution of the standard more visible. Another accountability measure is to ensure oversight remains strong. Even if agile teams work somewhat autonomously, they still must report to key decision-makers. If an agile experiment is not working (e.g., a pilot yields poor results), regulators should have the subject matter expertise and the willingness to step in and pivot or halt the approach.

Regulatory Capture and Equity

When regulators work more closely with the profession (as agile methods encourage via collaboration), there is a risk of regulatory capture. Specifically, the regulator might become too influenced by the profession's perspective, potentially at the expense of investor protection (Keyser 2023; Knechel and Park 2022). Agile standard setting must guard against this by maintaining a balance of stakeholder voices. To this end, standard-setters must include investors and other public interest representatives in the feedback loops, not just auditors and issuers. The equity of participation matters, too: smaller firms and less-resourced stakeholders should get opportunities to voice their views, not only the largest firms or most vocal investors. To this end, standard-setters might need to conduct extra outreach via targeted surveys or calls for input to ensure the agile process does not become dominated by a few voices.

Resource and Cost Risk

Implementing agility may require more resources. For example, regulators might need more staff to run multiple small teams versus one large team working sequentially, and there could be costs for new tools or training. Agile processing, especially in early phases, can appear resource-intensive because of the initial design and coordination. Standard-setters will need to invest in this transformation. Over time, efficiency gains (e.g., fewer extended projects consuming years of staff time) should offset the initial costs. However, governance bodies that oversee audit regulators will likely ask whether this investment is necessary and justified. To answer that, regulators should track and report on the outcomes—showing, for example, that standards are delivered more cost-effectively or that certain risks were mitigated sooner, adding value to investors that justifies the spend.

Cultural Resistance

Some at the PCAOB might push back against agile change out of a concern that it undermines the seriousness or authority of standard setting. Governance needs to address this through change-management practices. PCAOB leadership should clearly communicate the purpose and benefits of going agile and tie it to the regulator's mission. Additionally, the transition to agile standard setting processing should be incremental and iterative. Early successes from the transformation should be celebrated and publicized. Training programs and perhaps creating internal champions or an "agile task force" can help bring hesitant staff along. It is essential to reinforce that the values of the regulator remain, and agile is just a better way to achieve those values under current conditions.

More fundamentally, the cultural transformation required extends beyond the standard setting body itself. We emphasize that formal governance requirements (e.g., SEC approval of PCAOB standards, notice-and-comment periods required by Sarbanes-Oxley) represent structural constraints that agile tooling alone cannot eliminate. Agile is not a way to circumvent these statutory steps but a way to make the work within and between those steps more efficient, collaborative, and responsive. The agile mindset treats policies or standards as evolving products that benefit from continuous stakeholder feedback, experimentation, and refinement. This mindset has implications for three distinct constituencies: (1) regulators, who must shift from viewing standards as static, finished products to treating them as living documents; (2) audit firms, which must develop internal cultures of continuous learning and adaptation rather than treating each new standard as a disruptive event; and (3) the broader accounting profession, including educators and professional organizations, which must embrace a culture of ongoing feedback and iterative improvement. This mindset of continuous learning and receptivity to feedback is arguably more important than any specific agile tool or methodology.

In summary, robust governance frameworks must overlay the agile process without adding so much red tape that all agility is removed. This carefully balanced governance structure includes updated charters for advisory panels, clear documentation protocols, ethical walls if needed, and oversight mechanisms that ensure agile efforts remain aligned with the public interest. It is crucial that those involved in governance and monitoring also understand agile principles so that they have the appropriate risk tolerance to support the process and understand when a pivot is necessary

without causing unnecessary anxiety and rework. By anticipating and managing these risks, auditing standard-setters can pursue innovation in their standard setting confidently and responsibly. Given the risks outlined above, careful thought must accompany any and all revisions to the standard setting process. Importantly, this paper intends to *start* an important conversation, but we are admittedly unable to anticipate all problems or provide solutions to those problems in this paper.

VI. DISCUSSION OF IMPLICATIONS

Transforming standard setting through agile principles carries broad implications for the auditing profession, regulatory practice, and academic research. If successfully implemented, an agile approach could be a catalyst for positive change well beyond the immediate process of writing standards. Here, we discuss some key implications and suggest areas for future research to evaluate and inform this transformation.

We conceptualize agile adoption not as a narrow change to the standard-drafting process alone but as an ecosystem-level transformation. Although a concentrated standards revision cycle (perhaps even as short as one year) appears aggressive, we should be mindful that the agile approach breaks down work product into smaller sizes and uses cross-functional teams to implement timely feedback from stakeholders. The collaborative approach facilitated through the adoption of agile principles replaces the frustrating, adversarial cycle often experienced by practitioners under the current regime: a years-long standard setting process, followed by guessing how the PCAOB wants it implemented, being told during inspections that the implementation was wrong, and trying again. By integrating continuous communication between firms, standard-setters, and inspectors, an agile framework replaces this disjointed progression with a cooperative cycle of ongoing improvement.

Implications for Audit Quality and the Profession

At its core, the motivation for agile standard setting is to improve audit quality by ensuring standards remain relevant and have a high impact. It is designed to preserve and strengthen the principles-based character of PCAOB standards rather than move them toward a more prescriptive model. If standards can be updated more quickly to address emerging issues, auditors will be better equipped to detect problems and perform high-quality audits. Over time, one would expect to see improved audit efficiency and quality—perhaps fewer restatements due to audit failures or fewer severe inspection findings, especially in areas that historically suffered from outdated guidance.

The profession might also experience a culture shift: auditors would have to stay up to speed with updates, fostering a mindset of continuous learning. Large firms already have methodologies that evolve; over time, they might integrate iterative changes in standards more fluidly into their training and tools. Smaller firms, under an agile regime, would hopefully get more timely support (e.g., phased rollouts, additional implementation guidance) that actually makes it easier to adapt than the old model that results in infrequent—but very large—changes.

We acknowledge, however, that more frequent changes to audit standards could increase engagement fees in the short run as firms invest in updated procedures, tools, and training. These downstream costs to audit clients and investors should be weighed against the costs of the current regime. We also acknowledge that the cumulative cost of frequent updates could impact smaller firms disproportionately. To mitigate this, we recommend (1) phased rollouts that give smaller firms additional implementation time, (2) the PCAOB providing free or subsidized implementation toolkits and templates with each iteration, (3) a tiered compliance timeline allowing smaller firms to defer adoption of minor updates until the next major release cycle, and (4) dedicated small-firm advisory groups within the agile standard setting process to ensure their operational realities are considered during drafting.

There could also be an effect on innovation in auditing. If the regulator signals an openness to experimentation through pilot-testing standards, audit firms might be encouraged to innovate themselves, knowing the regulator is willing to accommodate and even encourage new methods that prove effective. For instance, firms and auditees might invest more in AI audit tools (Eulerich et al. 2025). An agile regulator-firm relationship could become more collaborative: firms might proactively share their innovations or concerns with the regulator in between formal comment periods, leading to a more dynamic evolution of practice and standards.

Investor and Market Impact

From an investor perspective, more responsive standards could enhance confidence in the audit process. If investors see that auditing standards address issues promptly—for instance, swiftly tightening standards in an area where there have been abuses—it can reassure them that the oversight system is functioning as designed. Additionally, involving investors more in the standard setting process can improve investor trust in the regulator. There is also a potential

market impact: if agile standard setting leads to higher audit quality, that could translate into more reliable financial reporting, which benefits capital market efficiency broadly.

Research Opportunities

The experimental nature of agile standard setting—particularly its emphasis on regulatory pilots and sandbox approaches—creates fertile ground for deeper collaboration between regulators and academic researchers. Agile standard setting aims to test the efficacy, practicality, and outcomes of proposed audit standards in a real-world but controlled environment before broad implementation. Academics are well positioned to contribute to such pilots by helping formulate experimental design and hypotheses, select outcome measures, and structure data collection protocols. Additionally, scholars can bring methodological rigor to the analysis of pilot results, offering independent assessments that enhance the transparency and credibility of the findings. These collaborations could not only enrich the empirical foundation for agile regulatory decisions but also foster a two-way exchange: regulators gain analytical insights while researchers gain access to novel, policy-relevant data that can inform academic inquiry. Such partnerships have the potential to strengthen both regulatory legitimacy and scholarly impact, creating a virtuous cycle of evidence-based innovation in audit standard setting.

Agile standard setting also opens the door to a range of empirical research opportunities aimed at evaluating the impact of this new standard setting approach. One promising avenue is to assess whether agile-developed standards lead to different outcomes compared with those developed under traditional models. Researchers could analyze comment letter sentiment to determine whether greater stakeholder involvement throughout the process results in more constructive or supportive feedback. Similarly, scholars could examine whether agile standards require fewer post-implementation amendments—suggesting a closer fit to stakeholder needs from the outset—and whether audits conducted under these standards exhibit fewer inspection deficiencies, thereby implying improvements in audit quality. In parallel, qualitative and survey-based studies could explore how stakeholders experience the shift to agility. For example, interviews with investors, audit firm leaders, and audit committee members could shed light on whether they feel more engaged in the process, perceive the standards as more effective, and view the cost and complexity of compliance as improved or worsened. Such studies could reveal whether the smaller, more frequent updates of an agile system are easier for firms to integrate into training and methodologies or if they inadvertently introduce a new kind of burden through continual adaptation. Together, these research streams would generate critical insights into both the technical effectiveness and human dimensions of agile regulatory reform.

Another important area for future research is how agile standard setting influences the enforcement mechanism of audit regulators. Agile approaches may shift the boundary between rulemaking and enforcement, particularly if iterative guidance and pilots create a more fluid regulatory environment. Scholars could investigate whether more frequent, incremental updates reduce ambiguity in standards and thereby lead to clearer, more consistent enforcement outcomes. Alternatively, the evolving nature of agile standards may introduce uncertainty for enforcement staff and regulated entities alike, raising questions about predictability and fairness in inspections and disciplinary actions. Research could also explore whether agile-era standards change how regulators prioritize enforcement resources—for example, focusing more on education and remediation during early implementation phases. Understanding how agility affects not just the creation but also the enforcement of standards is critical to evaluating its overall effectiveness and legitimacy.

In conclusion, a move toward agile standard setting by auditing standard-setters not only has the potential to benefit audit quality and public trust if done correctly but could also help audit regulators and the audit profession remain relevant amid the rapid pace of technological change. It aligns the regulatory process with the dynamism of today's financial and technological landscape. It also opens up new frontiers for understanding how regulation can be made more effective. Through thoughtful implementation, robust governance, and continuous learning (including learning from research and experience), standard-setters can demonstrate that, even in the rule-bound arena of financial regulation, innovation and adaptability have a place. The result could be a more resilient and forward-looking audit oversight regime that better serves investors and the public interest.

DECLARATION OF GENERATIVE AI AND AI-ASSISTED TECHNOLOGIES IN THE WRITING PROCESS

During the preparation of this work, the authors used ChatGPT and Claude (Vakilzadeh and Wood 2026) GenAI models in order to improve all aspects of conducting this research. After using this tool/service, the authors reviewed and edited the content as needed and take full responsibility for the content of the publication.

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